



INSURANCE AND PENSIONS COMMISSION



Funeral Assurance Industry Report

for the Twelve Months Ended 31 December 2018

160 Rhodesville Avenue
Greendale
Harare

Tel: +263 242 443358/443261/443422

Cell: +263 772 154 281, +263 772 154 282, +263 772 154 283, +236 772 154 284

Fax: 443304

E-MAIL: enquiry@ipec.co.zw



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1. Executive Summary

- 1.1 The gross premium written (GPW) by the nine (9) registered funeral assurance industry players increased by 9.85% from \$ 39.98 million for the period ended 31 December 2017 to \$ 43.92 million for the twelve months ended 31 December 2018¹. Reinsurance by funeral assurance players remained low within the funeral assurance industry as the retention ratio stood at 99.94%.
- 1.2 The increase in GPW was attributed to an increase in new business that was renewed during the period under review. Thus, resulting in an increase in recurring premiums for the comparable period.
- 1.3 Net profit after tax decreased by 12.35% from \$ 5.46 million for the twelve months ended 31 December 2017 to \$ 4.79 million for the twelve months ended 31 December 2018. The decrease in net profit after tax was attributed to an increase in operating expenses from \$ 19.55 million to \$ 20.17 million and claims incurred from \$ 9.81 million to \$ 15.09 million. It was observed that operating and management expenses were relatively high in absolute terms in comparison to the claims incurred on policies. The high costs will not be sustainable in the long run given that the nature of the business is more of a long term nature. Thus, the industry will not be able to sustain such high cost structures should they be faced with a change in claims experience. Furthermore, this has the implication of negatively affecting the capital position of the company as resources are being used to meet administrative expenses rather than working towards meeting capital requirements as prescribed in the regulation.
- 1.4 A total of 808 thousand policies with total sum insured of \$ 219.21 million were underwritten as at 31 December 2018, from 855 thousand policies with exposure of \$ 213.02 million as at 30 September 2018.
- 1.5 Total industry assets as at 31 December 2018 were \$ 76.57 million, a decrease from \$ 81.04 million as at 30 September 2018. The asset decline of 5.52% experienced was mainly due to movements between inter-company transactions as insurance players settled payments due to related parties.
- 1.6 The amount invested by funeral assurers in Prescribed Assets (PA) decreased in absolute terms from \$ 1.50 million as at 30 September 2018 to \$ 1.38 million as at 31 December 2018. This was significantly below the regulatory minimum requirement of 7.50%, as only 1.86% of funeral assurance assets were invested in PA. The 2019 National Budget announced by The Government of Zimbabwe increased the minimum Prescribed Asset compliance ratio for funeral assurers from 7.50% to 10.00%.
- 1.7 Six out of nine funeral assurance players reported capital positions below the minimum regulatory capital requirement of \$ 2.50 million based on their unaudited financials as at 31 December 2018. It has been observed that no steps have been undertaken by the non-compliant players to address this

¹ The total GPW relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business generated by life offices. The funeral business generated by life offices is indicated in the life assurance report.

shortcoming as evidenced by the continuous reporting of capital levels below the minimum regulatory requirement for more than four consecutive quarters.

1.8 Table 1 below indicates the key financial highlights for the funeral assurance industry as at 31 December 2018.

Table 1: Key Performance Indicators

Key Financial Indicators	Funeral Assurers		
	Dec-17	Dec-18	Change
Funeral assurers GWP (\$000)	39,981	43,918	9.85%
Total Gross Claims (\$000)	9,813	15,096	53.84%
Operating Expenses(including Administration and Management) (\$000)	19,555	20,176	3.18%
Commissions (\$000)	3,403	4,110	20.79%
Total Costs(\$000)	32,771	39,383	20.18%
Net Profit after tax(\$000)	5,469	4,790	-12.35%
	Sep-18	Dec-18	Change
Total Assets (\$000)	81,043	76,569	-5.52%
Total Liabilities (\$000)	46,073	39,432	-14.41%
Capital - Net Assets (\$000)	34,970	37,136	6.19%
Capital to liability Ratio	76%	94%	1800 basis points
Prescribed Assets (\$000)	1,507	1,389	-7.81%
Prescribed Asset Ratio (%)	1.86%	1.82%	-4 basis points
	Sep-18	Dec-18	Change
Total Number of Policies (000)	855	808	-5.46%
Total Sum Assured (\$ 000)	213,028	219,214	2.90%

2. Performance in terms of Business Written

2.1 The funeral assurance industry's total GPW increased by 9.85% from \$ 39.92 million for the period ended 31 December 2017 to \$ 43.91 million for the twelve months ended 31 December 2018.

2.2 The increase in GPW was mainly attributed to business that was renewed, which accounted for 96.53%, whilst new business constituted of 3.67%.

2.3 Of the four entities that reported positive business growth, only one of them recorded significant growth of more than 27%, whilst the other three registered insignificant growth ranging between 1.81% to 8.27%. Five entities in the market experienced negative growth rates ranging from -24.14% to -1.97%.

2.4 Funeral assurance players have struggled to grow their books due to stiff competition from life assurance players writing funeral business under their portfolios. This has been evidenced by the life assurance

industry writing funeral assurance business worth \$ 157, 17 million for the twelve months ended 31 December 2018. One life assurer, accounted for more than two thirds (\$ 108.39 million) of the funeral business during the same period. The business written by the life assurer was more than double the business written by the nine dedicated funeral assurers.

Table 2: Gross premium written per Company (\$ 000)

	Name of Company	Dec-17	Dec-18	Growth (%)
1.	Doves	17,006	21,661	27.37%
2.	First Funeral	7,341	6,391	-12.95%
3.	Foundation	1,067	1,046	-1.97%
4.	Moonlight	11,731	11,944	1.81%
5.	Orchid	60	49	-18.30%
6.	Passion	1,125	1,218	8.26%
7.	Ruvimbo	562	520	-7.43%
8.	Sunset	94	71	-24.14%
9.	Vineyard	995	1,019	2.42%
	Total	39,981	43,918	9.85%

2.5 Individual business continues to be the dominant business line for the funeral assurance industry, accounting for 57.01% of GPW whereas corporate business accounted for 42.99% for the twelve months ended 31 December 2018.

3. Capitalisation

3.1 Six out of nine funeral assurance players reported capital positions below the regulatory capital requirement of \$ 2.50 million based on their unaudited financials as at 31 December 2018. The Commission is concerned by the continuous failure by most funeral assurance players to meet the minimum capital requirements as prescribed by legislation. This compromises the going concern status of most of these entities. However, the Commission is closely monitoring the industry on this key regulatory issue.

3.2 The quality of the capital of some players is compromised by the inclusion of significant asset values in respect of intangible assets such as computer software. Assets of this nature may not be available to meet liabilities when the need arises. The application of the discounts provided for under S.I. 95 of 2017 on the funeral industry will adversely affect the already precarious capital position of most funeral assurance players.

3.3 The unadjusted capital position for assurance players ranged from \$ 0.53 million to \$17.66 million as at 31 December 2018, as shown in Table 3 below.

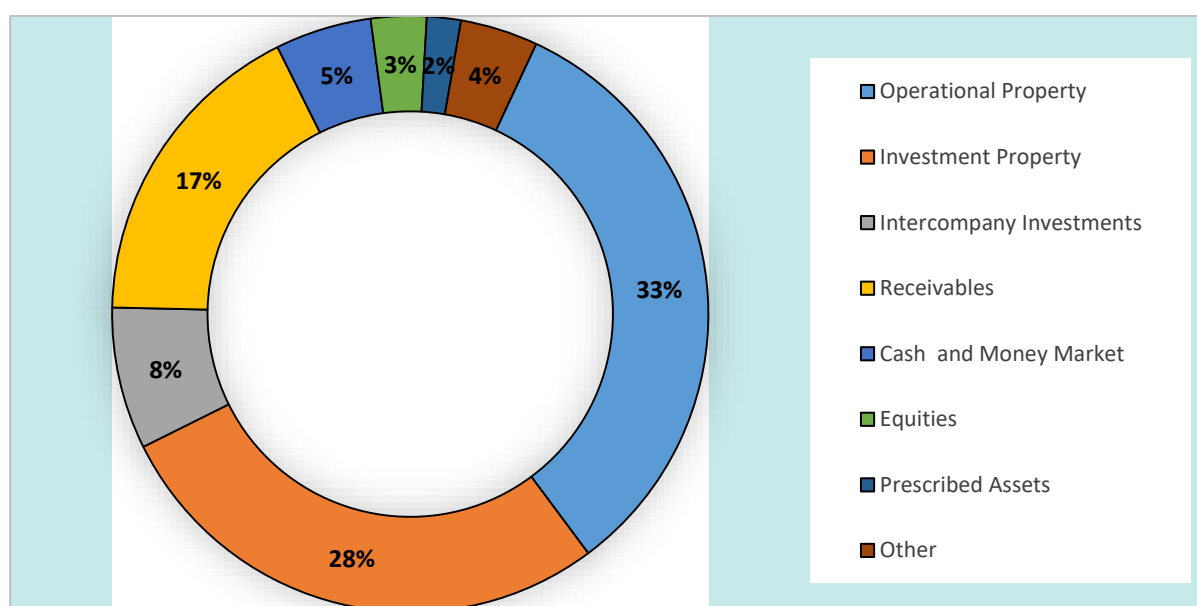
Table 3: Capitalisation Trend Levels

Company	CAPITAL POSITION				
	Dec-17	Mar-18	Jun-18	Sep-18	Dec-18
Doves	18,046	17,126	17,704	16,636	17,665
First Funeral	5,174	5,353	5,948	5,911	5,832
Foundation	924	911	819	830	1,445
Moonlight	3,714	4,735	4,005	4,109	4,504
Orchid	707	710	701	693	685
Passion	556	577	582	549	535
Ruvimbo	1,972	2,650	2,175	2,245	2,466
Sunset	1,547	1,657	1,530	1,684	1,682
Vineyard	2,112	2,211	2,339	2,310	2,318
Total	35,328	36,930	35,803	34,970	37,136

4. Asset Quality

- 4.1 Total assets for funeral assurers decreased by 6.00% from \$ 81.04 million as at 30 September 2018 to \$ 76.56 million as at 31 December 2018. The asset decline experienced was mainly due to movements between inter-company transactions as one insurance player settled payments due to related parties for services rendered when claims were lodged.
- 4.2 The asset base for the funeral assurance industry remains concentrated in immovable property, with operational property constituting 33.00% and investment property 28.00% of total assets as shown in Figure 1 below.

Figure 1: Breakdown of Assets



There is need for most of the funeral assurers to revise their asset portfolio to match their liabilities especially in view of the policies which they are writing with cash benefit components.

4.2.1.1 All funeral assurers were non-compliant with the minimum prescribed asset ratio of 7.50%. The industry had only 1.82%, \$1.38 million was invested in prescribed assets as at 31 December 2018. Table 4 below shows the compliance levels for each funeral player.

4.2.1.2 The minimum prescribed asset ratio for funeral assurance players was increased to 10.00% through the 2019 National Budget. Therefore, all funeral players are expected to be compliant with the new PA levels and were to submit compliance plans to the Commission.

Table 4: Prescribed Assets for the Funeral Assurance Industry as at 31 December 2018

Company	PA Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	4,065.84	0.00%	304.94	7.5%
Doves	985.31	31,106.45	3.17%	2,332.98	4.3%
First Funeral	10.68	10,594.11	0.10%	794.56	7.4%
Foundations	131.61	2,372.74	5.55%	177.96	2.0%
Moonlight	102.68	19,083.16	0.54%	1,431.24	7.0%
Passion	55.00	1,142.15	4.82%	85.66	2.7%
Ruvimbo	13.00	3,534.09	0.37%	265.06	7.1%
Sunset	-	1,910.89	0.00%	143.32	7.5%
Vineyard	91.26	2,759.97	3.31%	207.00	4.2%
Total	1,389.54	76,569.39	1.81%	5,742.70	5.7%

5. Reinsurance

5.1 The funeral assurance industry retained 99.94 % of the business written for the twelve months ended 31 December 2018, implying insignificant reinsuring of risk in the sector. The Commission continues to urge industry players to enter into reinsurance arrangements as a risk management strategy, given the weak capitalization levels in the industry.

6. Actuarial Matters

6.1 Total technical liabilities decreased by 5.03% from \$ 20.50 million as at 30 September 2018 to \$ 19.47 million at 31 December 2018. Future policyholder benefits was the major component of technical liabilities as it constituted of \$ 19.39 million. The Unearned Premium Reserve was at \$ 67,000.00 and Outstanding claims were at \$ 5,000.00. However, there is the risk that funeral assurance players might be under reserving. This position emanates from all future policyholder benefits being lumped into one figure without addressing the different risks that each product the funeral assurers are offering is exposed to.

- 6.2 Given input that can be harnessed within actuarial space, insurers are encouraged to comprehensively incorporate actuarial input more into other facets of the business, for example investment strategy and risk management.
- 6.3 There is need for the sector to adequately reserve for liabilities and back up such reserves with quality assets. Furthermore, shift from cash underwriting where claims (funeral expenses) are being met from new premiums instead of existing insurance pool.

7 Earnings

- 7.1 Net profit after tax for the funeral assurance industry decreased by 12.35% from \$ 5.46 million reported for the twelve months ended 31 December 2017 to \$ 4.79 million for the twelve months ended 31 December 2018.
- 7.2 The decrease in net profit after tax was partly attributed to increase in claims, which increased at a faster rate as compared to the GPW. Furthermore, operating and administration expenses were \$ 20.17 million (45.93% of GPW) for the twelve months ended 31 December 2018 also contributed to the decrease in net profit as they increased by 3.18% from 19.55 million for the twelve ended 31 December 2017.
- 7.3 Operating costs and commissions remain relatively high when compared to claims as they accounted for 61.67% of total costs. The high costs will not be sustainable in the long run given that the nature of the business is more of a long term nature. Thus, the industry will not be able to sustain such high cost structures should they be faced with a change in claims experience. Industry commissions increased by 20.79% from \$ 3.40 million for the twelve months ended 31 December 2017 to \$ 4.11 million for the twelve months ended 31 December 2018. The increase in commission was as a result of an increase in business that was generated by agents for their respective funeral assurance players. Industry players are encouraged to further investigate whether such commissions are commensurate with the business generated by the agents so as to better understand the associated relationships. This stems from the fact that commissions did not increase at the same rate with the GPW for the period under review.
- 7.4 Claims accounted for 38.33% of total costs resulting in the claims ratio (net claims: net earned premiums) of 34.37% for the twelve months ended 31 December 2018. The low claims ratio is partly due to certain costs being accounted for under operating costs whilst they are in actual fact part of claims. Also, a change in demographic behaviour as the population is living longer than before might be contributing to the low claims experience. Henceforth, the need for players to develop mechanisms to be able to withstand adverse claims experience when they do arise.

- 7.5 As highlighted in the last quarterly report as at 30 September 2018, the Commission is concerned with high commissions, management, operating and administration cost in the industry given the negative working capital position of most of the players.
- 7.6 A summary of the claims incurred, operating expenses, total costs for each industry player for the twelve months ended 31 December 2018 is explained further in Appendix A5.

8 Liquidity

- 8.1 The industry had a negative working capital position of \$ 13.03 million as at 31 December 2018 as \$4.03 million worth of current assets are supporting \$ 17.16 million of current liabilities. The Regulator is concerned by the results of the ratio given the increase in cashback policies that are being offered within the market.
- 8.2 It was further observed that most current liabilities, for example creditors, short term loans are of a non-technical nature and industry players are encouraged to address this shortcoming as this tends to affect the efficiency ratio where trade payables are concerned. Thus, bringing the industry into disrepute if creditors are not paid on time.

9 The Future

- 9.1 The funeral assurance industry finds itself in a very precarious position given the pressures being experienced within the macro- economic environment such as the multi-tier pricing, lapse rate risk, increased surrenders and currency volatility. Furthermore, funeral assurers are encouraged to devise strategies to withstand increased competition from the life assurance industry so as not to become extinct in the medium to long term or to allow the industry be dominated by very few players.



10 Appendix

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES										
	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position i.e Net Assets (\$ 000)	685	17,666	5,833	1,446	4,504	536	2,466	1,683	2,318	37,137
Capital Coverage Ratio (CCR)	27.42%	706.63%	233.31%	57.83%	180.17%	21.43%	98.65%	67.31%	92.72%	165.05%
Equity/Total Assets Ratio	17.03%	56.79%	55.06%	60.92%	23.60%	46.90%	69.78%	88.08%	83.99%	48.51%
Solvency Margin	21.96%	259.18%	137.03%	195.92%	114.37%	200.52%	0.00%	32056.76%	806.25%	190.80%
Asset Quality										
Total Assets (\$ 000)	4,074	31,106	10,594	2,373	19,083	1,142	3,534	1,911	2,760	76,577
Investments to Total Assets	74.01%	76.95%	40.78%	6.32%	0.54%	59.92%	21.70%	0.02%	10.50%	39.04%
Non-Interest Generating Assets/Total Assets	25.91%	20.71%	59.00%	81.32%	99.26%	25.72%	60.25%	99.76%	87.84%	54.03%
Fixed Assets/Total Assets	25.70%	12.90%	10.84%	48.25%	63.74%	0.00%	49.27%	93.34%	63.07%	32.36%
Prescribed Assets Ratio	0.00%	3.17%	0.10%	5.55%	0.54%	4.82%	0.37%	0.00%	3.31%	1.81%
Premium Debtors/Gross Premium	15.53%	0.37%	79.84%	10.68%	54.83%	11.58%	71.54%	154.76%	56.01%	29.70%
Premium Debtors/Total Assets	0.19%	0.26%	48.16%	4.71%	34.32%	12.35%	10.53%	5.78%	20.68%	17.03%
Reinsurance										
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	97.72%	100.00%	100.00%	100.00%	99.94%
Total Assets/Total Sum Assured	65.60%	80.45%	30.59%	1391.58%	18.35%	10.99%	526.91%	11.36%	11.36%	34.93%
Actuarial										
UPR	67	0	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	0	0	0	0	0	0	5	0	5
Future Policyholder Benefits	3092.9	6815.98	4256.474	737.82	3938.3	267	0	0	287.517	19395.991
Liquid Assets/Total Reserves	95.05%	10.81%	0.55%	23.70%	0.96%	46.55%	0	87.24%	37.83%	21.75%



Total Assets/Total Reserves	128.95%	456.38%	248.89%	321.57%	484.55%	427.58%	#DIV/0!	36394.00%	959.93%	393.35%
Earnings										
Profit After Tax (000)	-27.73	2,997.78	308.91	57.05	1,019.92	(35.45)	286.42	(19.59)	206.52	4,793.82
Return on Equity	-4.00%	16.97%	5.30%	3.95%	22.64%	-6.62%	11.61%	-1.16%	8.91%	12.91%
Return on Assets	-0.68%	9.64%	2.92%	2.40%	5.34%	-3.11%	8.10%	-1.03%	7.48%	6.26%
Loss(Claims) Ratio	67.35%	41.65%	30.65%	12.79%	27.94%	26.09%	10.04%	13.62%	24.71%	34.46%
Net Commission Ratio	0.00%	9.56%	21.10%	7.92%	3.81%	8.25%	0.00%	2.79%	5.56%	9.38%
Net Expense Ratio	89.24%	36.82%	36.43%	78.84%	62.95%	60.35%	26.73%	107.66%	54.06%	45.97%
Combined Ratio	156.53%	88.03%	88.04%	99.55%	94.71%	92.53%	35.85%	124.07%	84.03%	89.67%
Liquidity										
Current ratio	1360.13%	17.37%	4.67%	22.90%	0.37%	20.42%	0.64%	2.05%	70.47%	23%
Liquid assets as a percentage of total assets	73.71%	2.37%	0.22%	1.83%	0.20%	6.07%	0.19%	0.24%	3.94%	5.27%
Market Shares										
Market Share Based on GPW	0.11%	49.32%	14.55%	2.38%	27.20%	2.77%	1.18%	0.16%	2.32%	100%
Market Share Based on NPW	0.11%	49.35%	14.56%	2.38%	27.21%	2.71%	1.19%	0.16%	2.32%	100%
Market Share Based on Total Assets	5.32%	40.62%	13.83%	3.10%	24.92%	1.49%	4.62%	2.50%	3.60%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDING 31 Dec 2018 (000)										
	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	49	21,661	6,391	1,046	11,944	1,218	520	71	1,019	43,919
Reinsurance Premiums	-	-	-	-	-	28	-	-	-	28
Net Written Premiums	49	21,661	6,391	1,046	11,944	1,190	520	71	1,019	43,891
Increase/(Decrease) in UPR	-	-	18	-	-	-	47	-	10	75
Net Earned Premiums	49	21,661	6,373	1,046	11,944	1,190	473	71	1,009	43,816
Provision for Future Claims	-	2,166	-	-	-	-	-	-	2	2,168
Outstanding claims	12	-	-	-	-	-	-	5	-	17
Paid Claims	21	6,856	1,953	134	3,338	311	47	4	247	12,911
Net Claims	33	9,022	1,953	134	3,338	311	47	10	249	15,097
Net Commissions and Fees	-	2,072	1,345	83	455	98	-	2	56	4,110
Technical Result	16	10,567	3,075	829	8,151	781	425	60	703	24,609
Operating/Administration Expenses	39	7,975	2,328	-	6,520	24	139	25	47	17,098
Underwriting Profit/(Loss)	(23)	2,592	747	829	1,631	757	286	34	657	7,511
Management expenses	5	-	-	825	999	694	-	51	504	3,078
Investment Income	-	-	-	9	3	5	-	-	25	42
Other expenses	-	-	479	18	-	119	-	5	-	622
Other Income		406	73	62	570	18	-	3	29	1,161
Profit Before Interest and Tax	(28)	2,998	341	58	1,205	(32)	286	(20)	206	5,015
Taxation	-	-	-	1	-	3	-	-	-	4
Interest Payments	-	-	32	-	185		-	-	-	
Profit After Tax and Interest	(28)	2,998	309	57	1,020	(35)	286	(20)	207	4,794
Transfer to policyholders funds	-	-	-	23	-	-	-	-	-	23
Dividends	-	-	-	-	-	-	-	-	-	-
Retained Income	(28)	2,998	309	34	1,020	(35)	286	(20)	207	4,771



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 Dec 2018 (000)

	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS										
Non-Current Assets										
Property and Equipment	1,047	4,013	1,148	1,145	12,163		1,741	1,783	1,741	24,782
Investment Property		14,930	4,279	150	103	640	767		120	20,988
Investments in Securities	16	3,193	30	-	-	30	-		91	3,360
Intercompany Investments	-	5,803	-	-	-	-	-	-	-	5,803
Other Non-Current Assets	-	-	-	118	-	54	618	-	16	806
Total Non-Current Assets	1,063	27,940	5,457	1,413	12,266	724	3,126	1,783	1,968	55,739
Current Assets										
Cash & cash equivalents	3	726	24	43	38	55	7	4	30	930
Money Market Investments	3,000	11	-	-		14	-	0	79	3,104
Prescribed Assets	-	985	11	132	102	55	13	-	91	1,388
Inventory and Other Assets	1	1,364	-	673	129	153	16	12	22	2,370
Premium Debtors	8	80	5,103	112	6,549	141	372	110	571	13,045
Total Liquid Assets	3,003	737	24	43	38	69	7	5	109	4,034
Total Assets	4,074	31,106	10,594	2,373	19,083	1,142	3,534	1,911	2,760	76,576
Liabilities										
Deferred Tax Liabilities	-	828	-	-	1,601	-	-	-	-	2,428
Future policyholders benefits	3,093	6,816	4,256	738	3,938	267	-	-	288	19,396
Short term loans	-	655	365	-	460	-	42	-	-	1,522
Long term Loans	-	2,384	-	-	414	-	-	-	-	2,798
Current Tax provisions	-	1,663	-	-	-	0	-	-	-	1,663
Gross Outstanding Claims	-	-	-	-	-	-	-	5	-	5
UPR	67	-	-	-	-	-	-	-	-	67



Creditors	78	1,095		189	7,822	249	-	-	-	9,433
Amount due to related companies	143	-	-	-	-	-	-	-	-	143
Other Liabilities			140		344	90	1,026	223	154	1,977
Total Technical Liabilities/Reserves	3,160	6,816	4,256	738	3,938	267	-	5	288	19,468
Current Liabilities	221	4,241	505	189	10,227	339	1,068	223	154	17,167
Total Liabilities	3,380	13,441	4,761	927	14,579	606	1,068	228	442	39,433
Shareholders's Equity										
Share Capital	14	1,000	411	-	1,500	1,048	930	41	211	5,155
Share Premium	1,334		1,610	-	-	-	-	-	978	3,922
Revaluation & Other Reserves	268	3,276	502	1,409	3,667	420	1,011	1,801	36	12,390
Retained Profit	(922)	13,390	3,308	36	(663)	(933)	525	(159)	1,093	15,676
Shareholders's Equity	694	17,666	5,832	1,445	4,504	535	2,466	1,683	2,318	37,143
TOTAL EQUITY & LIABILITIES	4,074	31,106	10,593	2,372	19,083	1,142	3,534	1,911	2,760	76,576



APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 DEC 2018

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)	Dec-17	Dec-18	Growth (%)
Doves	61	66	8%	1,357	4,266	214%	4,258	395	-91%	11,330	16,934	49%	17,006	21,661	27.37%
First Funeral	5	8	60%	7,336	6,383	-13%	-	-	0%	0	-	0%	7,341	6,391	-12.95%
Foundation	5	3	-45%	1062	1,043	-2%	-	-	0%	0	-	0%	1,067	1,046	-1.97%
Moonlight	-	182	100%	11,731	11,761	0%	-	-	0%	0	-	0%	11,731	11,944	1.81%
Orchid	-	-	0%	2	5	151%	-	-	0%	58	44	-24%	60	49	-18.30%
Passion	7	55	687%	252	229	-9%	42	118	181%	824	815	-1%	1,125	1,218	8.26%
Ruvimbo	562	68	-88%	0	453	100%	-	-	0%	0	-	0%	562	520	-7.43%
Sunset	94	1	-99%	0	71	100%	-	-	0%	0	-	0%	94	71	-24.14%
Vineyard	90	260	189%	390	186	-52%	106	367	71%	409	206	-50%	995	1,019	2.42%
TOTAL	824	642	-22%	22,130	24,397	10%	4,406	880	-80%	12,621	17,998	43%	39,981	43,918	9.85%



APPENDIX A5. COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 DEC 2018																		
Co. Name	NPW (000)			Claims (000)			Commissions(000)			Operating Expenses (000)			Total Costs(000)			Combined Ratio		
	Dec-17	Dec-18	Change	Dec-17	Dec-18	Change	Dec-17	Dec-18	Change	Dec-17	Dec-18	Change	Dec-17	Dec-18	Change	Dec-17	Dec-18	Change
Doves	17,006	21,660	27%	3,352	9,022	169%	1,233	2,071	68%	6,386	7,975	25%	10,971	19,069	74%	65%	88%	24%
First Funeral	7,341	6,390	-13%	2,481	1,953	-21%	1,657	1,344	-19%	2,455	2,328	-5%	6,593	5,626	-15%	90%	88%	-2%
Foundation	1,067	1,045	-2%	121	133	11%	94	82	-12%	801	824	3%	1,016	1,041	2%	95%	100%	4%
Moonlight	11,731	11,943	2%	3,264	3,337	2%	307	454	48%	8,103	7,519	-7%	11,674	11,311	-3%	100%	95%	-5%
Orchid	60	49	-18%	7	33	371%	-	-	0%	60	44	-27%	67	77	15%	112%	157%	45%
Passion	1,125	1,217	8%	289	310	7%	76	98	29%	650	718	11%	1,015	1,127	11%	90%	93%	2%
Ruvimbo	563	520	-8%	79	47	-40%	-	-	0%	427	139	-67%	506	186	-63%	90%	36%	-54%
Sunset	94	71	-24%	15	9	-35%	2	1.99	-1%	133	77	-42%	150	88	-41%	160%	124%	-36%
Vineyard	995	1,019	2%	205	249	22%	34	56	65%	540	550	2%	779	856	10%	78%	84%	6%
Total	39,982	43,918	10%	9,813	15,096	54%	3,403	4,110	21%	19,555	20,176	3%	32,771	39,383	20%	82%	90%	8%